investment projects announced during the quarter October–December 2017 were the lowest for any quarter since June 2004.

Interestingly, though banks were flush with funds, credit offtake remained lukewarm. While bank deposits skyrocketed by ₹6,720 billion (₹6,72,000 crore) as a result of the demonetization bonanza, loans and advances by banks increased by only ₹1,008 billion (₹1,00,800 crore) during 28 October 2016 – February 2017 period.

This was notwithstanding the fact that banks, across the board, had reduced lending rates. The weighted average lending rate (WALR) of banks in respect of fresh rupee loans declined by 56 bps (0.56 per cent) during the period November 2016–January 2017. Similarly, the one-year median Marginal Cost of Funds Lending Rate (MCLR) declined on average by a cumulative 70 bps (0.7 per cent) during November 2016–March 2017.[29]

What this shows is that business people were unwilling or unable to invest, despite the fact that interest rates had fallen. The decline in the Gross Fixed Capital Formation (GFCF)ratio from 28 per cent in September 2016, to 27 per cent in December 2016 and further to 25 per cent in March 2017,[30] is a clear reflection of this fact.

Equally important, banks were also going slow on lending post demonetization. Lending is predicated only partly on how much cash banks have; bankers lend basis their perception of the risk profile of the potential borrower. In a situation of mounting non-performing assets or NPAs and frauds and with a major disruption in economic activities as a result of demonetization, the risk of lending in 2017 in India was extremely high. Thus, even as investors were reluctant to borrow, banks were reluctant to lend, preferring instead to park surplus liquidity in government bonds.

Commenting on the declining investment ratio, the Economic Survey 2017–18[31] made some important observations:

- A one percentage point fall in investment rate is expected to dent growth by 0.4–0.7 percentage points.